

2. Second, look at how much you *want* to spend this month on your current life and how much you *want* to set aside for future needs/goals. This includes discretionary spending, any extra money you want to put toward debt, and amounts you want to contribute to your saving goals. Find the total of all your “hopeful” spending and hold onto that number.

3. Third, consider your retirement investment goals. This includes your 401(k) (or comparable plan from your employer), Roth IRA, and/or traditional IRA depending on your situation. Remember that investing is essentially assuring that you can buy what you love for the rest of your life. Keep in mind that the average over-fifty worker expects to retire at sixty-seven, yet the average retirement age for women is sixty-three, meaning many people have to stop working before they plan to. Investing early and often will alleviate stress if your plans for working change. So, with a retirement income goal and date in mind, write down how much you want to contribute toward retirement investing each month. For example, a thirty-year-old who wants to max out their Roth IRA in 2024 would need to contribute about \$583 per month (given the contribution limits for their age and calendar year).

4. Fourth, gather all these numbers. If you’re a spreadsheet whiz or you’re using an app, you should be able to immediately see if your plan has you spending within or over your income. If you don’t have a fancy spreadsheet or app, then tally it all up manually and see how the total lines up with your take-home pay each month. Your expenses should theoretically be equal to your income, but inevitably you will have to adjust how much money you put toward each category and which ones need to be trimmed a bit. That said, we all know reality is not going to be perfect, but we can get as close as possible with our plan. When you’re creating yours, remember to keep it simple—not every expense needs its own line item. I spend a lot on food, and it’s high on my values list, so I just separate my discretionary expenses by “food” and “nonfood.” Your 90-day transaction inventory and priorities lists will be your guide to create and simplify your categories.